

PROJECT REPORT

OF

SH. _____ S/O SH. _____
Add: _____

Dairy Udhyog - 20 H.F. Cows Dairy Unit (with Infrastructure)

Total Project Cost : Rs. 28.12 Lacs | Scheme : PMEGP

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Bio Data of Unit & Promoter

1	Name of Project	Dairy Udhyog (20 H.F. Cows)
2	Address	_____ _____
3	Proprietor	SH. _____ S/O SH. _____
4	Status	Proprietorship Firm (Category: _____)
5	Business / Activity	Dairy farming - sale of milk & gobar khad
6	Breed / Herd size	Holstein Friesian (H.F.) cross-bred cows - 20 Nos (20 Ltr/day yielders)
7	Raw Materials	Green & dry fodder, cattle feed, khal, mineral mixture - easily available locally
8	Promoter Introduction	Experienced in animal husbandry
9	Market Opinion	Very good scope: ready demand from Saras dairy collection centres, sweet shops & households. Demand increasing day by day.
10	Production Capacity	Installed: 400 Ltr milk/day (20 cows x 20 Ltr) Utilised: 300 Ltr/day (75% - about 15 cows in milk, 5 dry)
11	Employment	3 persons (1 manager + 1 skilled + 1 un-skilled) + promoter & family

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PROJECT - REPORT

1. Cost of Project (Rs. in Lacs)

S.No	Particulars	Amount
1	Land	Owned
2	Building, Cattle Shed & Infrastructure	6.00
3	Plant & Machinery, Equipments	2.20
4	Live Stock - 20 H.F. Cows	18.00
5	Pre-operative (cattle insurance 1st yr & transportation)	0.52
6	Working Capital	1.40
	Total Cost of Project	28.12

2. Means of Finance (Rs. in Lacs)

S.No	Particulars	Amount
1	Promoter's Contribution (17.8%)	5.00
2	Term Loan from Bank	21.86
3	Working Capital Loan (CC Limit)	1.26
	Total	28.12

3. Fund Required from Bank under PMEGP Scheme (Rs. in Lacs)

S.No	Particulars	Amount
1	Term Loan	21.86
2	Working Capital	1.26
	Total Bank Finance	23.12

Note: Under PMEGP (rural area, special category - SC/ST/OBC/Women etc.) margin money subsidy @ 35% i.e. about Rs. 9.84 Lacs is admissible. It is kept as a 3-year lock-in (TDR) with the bank and adjusted against the loan, hence not taken in the projections.

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1. Factory Land

Dairy unit situated at Village _____, Tehsil _____, Distt. _____ - Owned

2. Building, Cattle Shed & Infrastructure (Rates incl. material & labour)

S.N.	Particulars	Qty	Unit	Rate	Amount
1	Cattle shed - steel pipe structure with GI/tin sheet roof, 30' x 60'	1800	Sq.ft	150	270,000
2	PCC floor with slope, anti-slip grooving & urine drain	1800	Sq.ft	40	72,000
3	Manger (khor) & water trough - brick & cement	60	R.ft	700	42,000
4	Feed / fodder store-cum-labour room 10' x 20'	200	Sq.ft	400	80,000
5	Calf pen & sick-animal (isolation) pen	L.S.		31,000	31,000
6	Side / boundary wall (brick, 4.5 ft high)	160	R.ft	250	40,000
7	Dung pit & vermicompost beds	2	Nos	15,000	30,000
8	Electric fitting, lights & water pipeline	L.S.		35,000	35,000
	Total				600,000
				Or Say	6.00 Lacs

Shed space: ~90 sq.ft covered per cow; long axis East-West, 12-14 ft height at centre for ventilation.

3. Plant & Machinery etc. (Rates incl. GST & freight)

S.N.	Particulars	Pcs.	Rate	Amount	Supplier
1	Milking machine (double bucket, electric)	1	55,000	55,000	Open Market
2	Electric chaff cutter with 2 HP motor	1	32,000	32,000	Open Market
3	Water motor / submersible pump 1.5 HP	1	18,000	18,000	Open Market
4	Water tank 2000 Ltr (PVC)	1	14,000	14,000	Open Market
5	Milk cans 40 Ltr (aluminium)	6	3,000	18,000	Open Market
6	Rubber cow mats	20	2,500	50,000	Open Market
7	Fans / foggers for summer cooling	4	3,500	14,000	Open Market
8	Balti, bhagona, chain, rope & misc. items	L.S.	19,000	19,000	Open Market
	Total			220,000	
			Or Say	2.20 Lacs	

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4. Live Stock

S.N.	Particulars	No.	Rate	Amount	Supplier
1	H.F. cross-bred cows (2nd/3rd lactation, 20 Ltr/day)	20	90,000	1,800,000	Open Market / Cattle Fair
			Or Say	18.00 Lacs	

Cows to be purchased in two batches of 10 (gap of ~4-6 months) so that milk production remains uniform round the year.

5. Pre-operative Expenses

S.N.	Particulars	Amount
1	Cattle insurance 1st year @ ~2.5% of Rs. 18.00 Lacs	45,000
2	Transportation of cows	7,000
	Total (Or Say)	0.52 Lacs

6. Working Capital Limit

Particulars	Margin %	Amount	Bank	Own
Feed & fodder stock	10%	70,000	63,000	7,000
Sundry receivable (milk bills)	10%	50,000	45,000	5,000
Cash in hand	10%	20,000	18,000	2,000
Total		140,000	126,000	14,000

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STATEMENT OF PROJECTED COST OF PRODUCTION & SALES REALISATION**Basic Parameters**

Name of Product	Milk, Gobar Khad
Name of Raw Materials	Green fodder, bhusa, cattle feed, khal, mineral mixture
Installed Capacity	400 Ltr milk per day (20 cows x 20 Ltr)
No. of Working Days	350 days milk sale in a year; ~75% cows in milk at a time

Utilisation	Capacity %	Ltr / Day	Ltr / Year
1st Yr	75%	300	105,000
2nd Yr	75%	300	105,000
3rd Yr	75%	300	105,000
4th Yr	75%	300	105,000
5th Yr	75%	300	105,000
6th Yr	75%	300	105,000
7th Yr	75%	300	105,000

Calculation of Sales Realisation - 1st Year

Particulars	Qty	Unit	Rate	Amount (Rs.)
Milk sale (300 Ltr/day x 350 days)	105,000	Ltr	35	3,675,000
Gobar khad (from dung pit)	60	Ton	2,000	120,000
Net Sales Realisation				3,795,000
			Say Rs.	37.95 Lacs

Milk rate Rs. 35/Ltr is the average realisation from dairy collection centre and direct sale to households / sweet shops. 20 cows give ~146 ton fresh dung a year, giving ~60 ton gobar khad sold to farmers @ Rs. 2,000/ton. Selling prices escalated @ 3% p.a. in later years.

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Calculation of Cost of Production (1st Year)

(a) Cost of Raw Material - Feed & Fodder

Particulars	Qty	Unit	Rate	Amount (Rs.)
Green fodder from own field (cost of cultivation) @ 20 kg/cow/day	1,460	Qtl	100	146,000
Dry fodder - bhusa / kadbi @ 5 kg/cow/day	365	Qtl	800	292,000
Concentrate - cattle feed, khal, dana (1 kg per 2.5 L milk + 1.5 kg)	548	Qtl	2,500	1,368,750
Mineral mixture & salt @ 50 g/cow/day	365	Kg	120	43,800
Cost of Raw Material			Or Say	18.51 Lacs

(b) Power & Utility

Power - 6,000 units @ Rs. 8.00 (chaff cutter, milking m/c, pump, fans)	48,000
Diesel / other fuel	12,000
Total (Say Rs. Lacs)	0.60

(c) Veterinary, Medicine & Breeding

Medicine, vaccination & deworming @ Rs. 3,000 / cow	60,000
Artificial insemination & misc. @ Rs. 500 / cow	10,000
Total (Say Rs. Lacs)	0.70

(d) Salary & Wages

Designation	No.	Salary P.M.	Amount P.M.
Manager	1	18,000	18,000
Skilled labour / milker	1	15,000	15,000
Un-skilled labour	1	10,000	10,000
Total (x 12 months)			5.16 Lacs

Promoter & family also help in day-to-day work.

(e) Other Admin. Expenses

Office & misc. exp.	12,000
Travelling & conveyance	18,000
Phone & stationery	6,000
Milk transport to dairy	14,000
Total (Say Rs. Lacs)	0.50

(f) Repair & Maintenance

2% on building (Rs. 6.00 L) + 3% on machinery (Rs. 2.20 L) = **Rs. 0.19 Lacs**

(g) Cattle Insurance

1st year included in pre-operative cost; renewal from 2nd year @ 2.5% = **Rs. 0.45 Lacs** p.a.

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Statement of Cost of Expenses & Profitability (Rs. in Lacs)

Particulars	1st Yr	2nd Yr	3rd Yr	4th Yr	5th Yr	6th Yr	7th Yr
Installed capacity (Ltr/day)	400	400	400	400	400	400	400
Utilised capacity %	75%	75%	75%	75%	75%	75%	75%
Production (Ltr/day)	300	300	300	300	300	300	300
Raw material (feed & fodder)	18.51	19.43	20.40	21.42	22.49	23.62	24.80
Salary & wages (5% inc.)	5.16	5.42	5.69	5.97	6.27	6.59	6.91
Power & utilities	0.60	0.62	0.64	0.66	0.68	0.70	0.72
Veterinary & breeding	0.70	0.73	0.77	0.81	0.85	0.89	0.94
Cattle insurance	0.00	0.45	0.45	0.45	0.45	0.45	0.45
Admin. expenses (5% inc.)	0.50	0.53	0.55	0.58	0.61	0.64	0.67
Repair & maintenance	0.19	0.19	0.19	0.19	0.19	0.19	0.19
Interest (T.L. + W.C.)	2.26	1.94	1.61	1.28	0.95	0.62	0.30
Depreciation	3.25	2.85	2.50	2.19	1.92	1.69	1.48
Total Expenses	31.16	32.14	32.79	33.55	34.41	35.38	36.45
Sales / Gross Receipt	37.95	39.09	40.26	41.47	42.71	43.99	45.31
Profit Before Tax	6.79	6.94	7.47	7.92	8.30	8.62	8.86
Income Tax (new regime)	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Profit After Tax	6.79	6.94	7.47	7.92	8.30	8.62	8.86
Gross Cash Accruals	10.03	9.79	9.97	10.11	10.23	10.30	10.34
Net Profit Ratio % (before tax)	17.89	17.76	18.55	19.10	19.44	19.58	19.55

Profit (1st Year)

Revenue expected per year	37.95
Less: cost of expenses	31.16
Profit	6.79

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Calculation of Depreciation (W.D.V. method, Rs. in Lacs)

Asset (Cost)	Rate	1st Yr	2nd Yr	3rd Yr	4th Yr	5th Yr	6th Yr	7th Yr
Building & shed (6.00)	10%	0.60	0.54	0.49	0.44	0.39	0.35	0.32
Plant & machinery (2.20)	15%	0.33	0.28	0.24	0.20	0.17	0.15	0.12
Live stock (cows) (18.52)	12.5%	2.31	2.03	1.77	1.55	1.36	1.19	1.04
Total		3.25	2.85	2.50	2.19	1.92	1.69	1.48

Live stock depreciation @ 12.5% taking average productive life of 8 years (pre-operative cost capitalised with live stock).

Calculation of Interest on Term Loan @ 10.50% (Rs. in Lacs)

Particulars	1st Yr	2nd Yr	3rd Yr	4th Yr	5th Yr	6th Yr	7th Yr
Opening balance	21.86	18.74	15.61	12.49	9.37	6.25	3.12
Less: repayment	3.12	3.12	3.12	3.12	3.12	3.12	3.12
Closing balance	18.74	15.61	12.49	9.37	6.25	3.12	-0.00
Average balance	20.30	17.18	14.05	10.93	7.81	4.68	1.56
Interest @ 10.50% on avg. bal.	2.13	1.80	1.48	1.15	0.82	0.49	0.16

Term loan repayable in 7 years in equal yearly (monthly) instalments. Interest on W.C. limit Rs. 1.26 L @ 10.50% = Rs. 0.13 L p.a.

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Debt Service Coverage Ratio (Rs. in Lacs)

Particulars	1st Yr	2nd Yr	3rd Yr	4th Yr	5th Yr	6th Yr	7th Yr
A. Cash Accruals							
Profit after tax	6.79	6.94	7.47	7.92	8.30	8.62	8.86
Depreciation	3.25	2.85	2.50	2.19	1.92	1.69	1.48
Interest on term loan	2.13	1.80	1.48	1.15	0.82	0.49	0.16
Total (A)	12.17	11.59	11.44	11.26	11.05	10.80	10.51
B. Repayment of Obligations							
Repayment of bank loan	3.12	3.12	3.12	3.12	3.12	3.12	3.12
Interest on bank loan	2.13	1.80	1.48	1.15	0.82	0.49	0.16
Total (B)	5.25	4.93	4.60	4.27	3.94	3.61	3.29
C. D.S.C.R. (A / B)	2.32	2.35	2.49	2.64	2.80	2.99	3.20

Average D.S.C.R. = 78.81 / 29.89 = 2.64

D.S.C.R. = (Net profit after tax + Interest on T.L. + Depreciation) / (T.L. repayment + Interest)

Break-Even Point (1st Year, Rs. in Lacs)

Sales	37.95
Variable cost (feed, power, veterinary)	19.81
Contribution (Sales - Variable cost)	18.14
Fixed cost (wages, admin, R&M, interest, depreciation)	11.35
B.E.P. = Fixed cost / Contribution x 100	62.58%
B.E.P. in terms of installed capacity	46.93%

Key Financial Indicators

Total project cost	Rs. 28.12 Lacs
Bank finance (T.L. + W.C.)	Rs. 23.12 Lacs
Average D.S.C.R.	2.64
Net profit ratio (1st yr)	17.89%
Break-even point (1st yr)	62.58%
Payback period (cumulative cash accruals)	2.8 years

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PROJECTED CASH FLOW STATEMENT (Rs. in Lacs)

Particulars	1st Yr	2nd Yr	3rd Yr	4th Yr	5th Yr	6th Yr	7th Yr
A. CASH INFLOW							
Profit before tax	6.79	6.94	7.47	7.92	8.30	8.62	8.86
Depreciation	3.25	2.85	2.50	2.19	1.92	1.69	1.48
Own contribution	5.00	0.00	0.00	0.00	0.00	0.00	0.00
Term loan from bank	21.86	0.00	0.00	0.00	0.00	0.00	0.00
W.C. loan from bank	1.26	0.00	0.00	0.00	0.00	0.00	0.00
Total - A	38.15	9.79	9.97	10.11	10.23	10.30	10.34
B. CASH OUTFLOW							
Fixed assets (building, P&M, cows, pre-op.)	26.72	0.00	0.00	0.00	0.00	0.00	0.00
Current assets (W.C.)	1.40	0.00	0.00	0.00	0.00	0.00	0.00
Drawings	4.00	4.20	4.40	4.50	4.60	4.80	5.00
Income tax	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Repayment of term loan	3.12	3.12	3.12	3.12	3.12	3.12	3.12
Total - B	35.24	7.32	7.52	7.62	7.72	7.92	8.12
Increase in cash (A - B)	2.91	2.47	2.44	2.49	2.50	2.38	2.22
Opening balance	0.00	2.91	5.38	7.82	10.31	12.82	15.20
Closing balance	2.91	5.38	7.82	10.31	12.82	15.20	17.42

Conclusion

The project is technically feasible and financially viable. With average D.S.C.R. of 2.64, the unit can comfortably repay the bank loan within 7 years, besides generating employment for 3 persons in the village. Bank finance is recommended.

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